

Table 39.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the pattern's height by subtracting the value of the lowest low reached in the head from the neckline, measured vertically. Add the difference to the breakout price. The result is the target price. For up-sloping necklines, use a close above the right armpit as the breakout price. The bottom portion of the table shows how often the measure rule works.
Wait for confirmation	It's always best to wait for price to confirm the pattern. Wait for an upward breakout.
Watch for throwback	If you miss the upward breakout, wait. The majority of the time, the stock will throw back to the neckline. Once it does, buy the stock or add to your position.

Description	Bull Market	Bear Market
Percentage reaching half height target	86%	74%
Percentage reaching full height target	71%	51%
Percentage reaching 2× height	50%	26%
Percentage reaching 3× height	38%	15%

Once you know how far price might rise, check [Table 39.3](#) to see if it's realistic. In our example, the target is 4.37 away in a stock trading at 15.88 for a value of 27.5% (or 4.37/15.88). [Table 39.3](#) says that 50% (interpolating between 25% and 30%) of the patterns in bull markets will fail to see price rise more than 27.5%. That's a high failure rate.

Wait for confirmation. Wait for price to close above a down-sloping neckline or above the right armpit before trading. That is always the safe play. If you don't wait for confirmation, there's a chance price will break out downward instead of upward.

Watch for throwback. Since a throwback occurs frequently (see [Table 39.4](#)), if you miss the breakout, you may have another chance to invest or